CBSE Feasibility Report

One North Building in Portland, Oregon
Prepared by Adre for PPS

October 2025

The design concepts included in this report are intended to convey preliminary ideas and may be revised during further development.

Conceptual designs are provided to evaluate program fit within the space and may not represent the final design.

All leasing information is subject to change.

CENTER FOR BLACK STUDENT EXCELLENCE

CBSE Programming Feasibility Study

One North Property

Submitted To

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Office of School Modernization

Submitted By

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October 10, 2025

Table Of Contents

Executive Summary

1. Programming

2. Design Concept

3. Site and Neighborhood

4. Building Assessment

5. Phasing Strategy

6. Income and Expenses

7. Conclusion

Referenced Appendices

Appendix A: Building Summary

Appendix B: Building Information: Code Summary

Appendix C: Building Information: Zoning Summary

Appendix D: Code Analysis

Appendix E: Reference Drawings

Appendix F: Initial Financial Analysis Operating Expenses

Executive Summary

Project Brief

Portland Public Schools (PPS) engaged Adre, a socially responsible real estate development firm, to conduct a Programming Feasibility Study for the Center of Black Student Excellence (CBSE) at the One North property, located at 3529 North Williams Avenue (East Building) and 3514 North Vancouver Avenue, Portland, OR 97227 (West Building). Adre partnered with LEVER Architecture to provide design services and assess the viability of the existing One North property to accommodate CBSE programming.

Approach

The Programming Feasibility Study refined CBSE's programming, established a design approach, created a concept test-fit, analyzed the property's strengths, weaknesses, opportunities, and threats (SWOT), quantified the existing property revenue and expenses, and developed a phasing strategy. To support this work, the project team reviewed documents provided by PPS, including a CBSE Vision Report, Phase I Environment Site Assessment Report, Building Assessment Report, Title Report, Lease Agreements, Rent Rolls, building construction plans, and site condition reports.

Programming and Design Concept

The project team recommends reorganizing CBSE programming into the following categories, which also include potential tenant spaces beyond PPS programming.

Special care has been taken to separate student areas from public facing spaces without compromising openness and inclusivity. These new program categories are: Innovation Hub, Center for Arts and Culture, Family Wellness, Joyce Harris Event Center, Administration & Office, and Community Collaboration.

Site and Neighborhood

The One North property is conveniently located near Boise-Elliot Elementary School, Jefferson High School, Harriet Tubman Middle School, and King Elementary, as well as cultural and youth-serving partners such as Self Enhancement, Inc. (SEI). The site benefits from excellent access to public transportation and bicycle routes, though limited parking and circulation present challenges. On-site solutions for student pick-up and drop-off are essential to the site's functionality, and this report outlines two viable options to address them.

Building Assessment

Zoning and building code evaluation confirm that conversion from commercial office to education use is feasible, however there are required building updates and improvements to life safety systems, accessibility, structural, plumbing and HVAC infrastructure to be in compliance. Of note, as described in the "Building Assessment Report" prepared by Interface and KPFF on September 25, 2025, the conversion from commercial to education use requires the building to become Structural Risk Category III, which will need to be addressed prior to students occupying the building.

Phasing Strategy

The redevelopment is proposed to be completed in three phases. Phase 1 is a 24-month predevelopment and permitting period, during which CBSE administrative staff and interim student programming will occupy portions of the East and West Buildings, while existing tenants remain in place to help offset operational costs. Phase 2, lasting approximately 12 months, will focus on construction, with CBSE activities confined to the East Building's fourth floor and café/gallery while other areas undergo renovation. Phase 3 completes the CBSE Final Program.

Income and Expenses

The initial financial analysis indicates that the buildings generate approximately $465,111 in annual tenant income against $736,494 in operating expenses.

The purchase of this building, assuming existing tenants remain, is estimated to require an annual CBSE investment of approximately $271,383 to sustain building operations. This assumes no debt on the purchase.

Conclusion

The Programming Feasibility Study confirms that the One North property can accommodate the desired CBSE programming. Per the building assessment report, infrastructure upgrades are required as a result of the building to be recategorized to Risk Category III for educational use.

Due to the surplus of square footage for the CBSE programming, and capital operating costs, the development team recommends maintaining existing tenants while consolidating CBSE programming into distinct floor plates, providing flexibility for future rentable spaces.

The initial financial analysis concludes the property income (which accounts for the building being 27% leased) does not cover operational expenses for the entire building, leaving operating costs to CBSE of $271,383 annually.

Next steps include:

1) PPS engaging a development partner to conduct a comprehensive financial analysis of the properties;

2) retaining a consultant to identify necessary infrastructure upgrades prior to occupancy;

3) coordinating with the adjacent northern property owner, [redacted], to establish an off-street pick-up and drop-off zone; and

4) engaging a development, architectural, and engineering team to advance tenant improvement designs for the One North property.

1.Programming

Portland Public Schools (PPS) engaged Adre, a socially responsible real estate development firm, to conduct a Programming Feasibility Study for the Center of Black Student Excellence (CBSE) at the One North property, located at 3529 North Williams Avenue (East Building) and 3514 North Vancouver Avenue, Portland, OR 97227 (West Building). Adre partnered with LEVER Architecture to provide design services and assess the viability of the existing One North property to accommodate CBSE programming.

Programming Analysis

The project began with a kick-off meeting with PPS, which included a building tour and walkthrough and a review of existing construction documents as well as PPS materials, including the CBSE Vision, Space and Operations Plan, and Building Program. The second meeting focused on the initial floor plan review with PPS, completing the building program analysis, building code and zoning review, site and neighborhood context analysis, and development of a project phasing strategy. The third meeting addressed the final floor plan review, the phasing strategy, and recommendations with PPS.

Updated Program Categories

The development team reviewed the CBSE Vision, Space and Operations Plan and reorganized program categories based on type, adjacencies, and user similarities to provide clearer space definitions and enhance wayfinding, user experience, and brand identity.

The recommended programming expands the CBSE program from four categories to six: Innovation Hub, Center for Arts and Culture, Family Wellness, Joyce Harris Event Center, Community Collaboration, and Administration and Office.

The new categories eliminate ambiguity by naming spaces in ways that intuitively align with their purpose. Visitors can easily locate the Family Wellness Center as a destination for health and family support services or the Art and Innovation Hub as a place for creative and technological exploration. This clarity improves the experience for first-time users and fosters a sense of belonging for all navigating the space.

Each category now groups related functions together to reflect the intended users. Families can find education and wellness services in one destination, students can explore creativity and entrepreneurship in the Innovation Hub, and community-based organizations can collaborate in the Community Collaboration Center.

This clustering supports programming, reduces operational overlap, and creates opportunities for synergy between related services.

The program layout also delineates zones for public and private access, including Community Resource Zone and Student and Staff Zone.

East Building	31,125 NSF	
+ West Building	34,520 NSF	
One North Total	65,645 NSF	
CBSE Programming	**4**7,780 NSF	73%
+ Leased Space	17,865 NSF	27%
One North Total	65,645 NSF	

*Programming sf includes all circulation/service spaces, which is 23% of the actual programming square footage.

Image 2: CBSE Program Categories

Innovation Hub (6,364 sqft)
- STEM Lab
- Makerspace
- Classrooms
- Supporting Study Spaces
- Computer Lab/ CTE
- Outdoor Balcony

Center of Culture (8,003 sqft)
- Cultural Archive
- Supporting Library Office
- Studio for the Arts
- Community Gallery
- Student Store
- Youth Lounge
- Supporting Social & Study spaces for Students

Family Wellness (6,528 sqft)
- Locker Rooms
- Movement Studios
- Family Resource Center
- Healthcare and Counselor Offices
- Wellness Dedicated Rooms
- Sensory Rooms
- Outdoor Balcony

Joyce Harris Event Center (6,494 sqft)
- Community Cafeteria
- Commercial Kitchen
- Event/Performance Space
- Supporting Collaboration Spaces

Community Collaboration (3,767 sqft)
- Resource Hub
- Community Care Station
- Multi-purpose Community Classroom or Retail
- Cafe

Administration & Office (4,481 sqft)
- Permanent Administrative Offices
- Supporting Conference Spaces
- Community Based Organizations (CBO) Offices and Storage

2.Design Concept

The proposed design aims to create a dynamic, community-centered environment that supports both student learning and broader civic engagement. The conceptual design distributes the program across two buildings, East and West, organizing internal and externally facing services. This approach fosters an inviting, active ground-level campus atmosphere that integrates community services while enhancing connectivity, flexibility, and security, with upper floors dedicated to student and invited community activities.

East vs. West Building

The East Building is envisioned as a convergence point for student-focused gatherings, community-oriented organizations, and CBSE workspaces, while the West Building primarily serves as a hub for specialized student learning, creative programming, and non-CBSE commercial tenants. The placement and adjacency of these spaces were guided by a commitment to create an inviting environment that encourages community engagement without compromising student centered programming.

Image 2: One North Property, West Building in foreground, East in Background

Groundfloor

The proposed design emphasizes a vibrant ground-level layout that activates the site and encourages interaction. A central courtyard functions as a gathering space, creating a welcoming entrance for both students and community members. Ground-floor access to new Community Collaboration tenants in the West Building and the existing health clinic tenant in the East building allows for public use while maintaining security for student-centered areas on the upper floors of the building.

The Center

The Center for Arts and Culture and the Joyce Harris Event Center on East 2 and East 3 serve as the CBSE's central hub, hosting student events, community gatherings, and cross-program collaboration, and acting as both a physical and symbolic anchor for the campus. Positioning them as standalone programs increases visibility and ensures they are the most accessible and welcoming entry points. A new commercial kitchen is proposed for the Joyce Harris Event Center to support year-round meal preparation and shared dining. While complex and an initial investment, the kitchen will provide a functional, inviting space that strengthens the center's role as a hub for community engagement. The addition of the commercial kitchen also makes the space an attractive option for event rentals, providing opportunities for additional revenue that can help offset operational costs.

Specialized Spaces

Specialized spaces are consolidated under the new program categories of the Innovation Hub and Family Wellness, located on the fourth and fifth floors of the West Building.

Administrative Spaces

Most administrative spaces are situated on the fourth floor of the East Building, while Community Based Organization (CBO) spaces are distributed throughout the building, positioned near the programs they support.

Strengths, Weaknesses, Opportunities, and Threats

The development team conducted a SWOT analysis to assess the benefits and risks of the One North property for PPS.

Strengths

- Active campus feel on ground level
- Ground floor courtyard with landscaping and benches
- East Building central atrium with amphitheater seating
- Fourth floor East Building existing commercial kitchen
- Flexibility for commercial tenants
- Built-in retail spaces for community-serving uses
- Existing office and retail tenants revenue helps offset some operating expenses
- No architectural changes to the 2nd and 3rd floor of the West building allow tenants to remain in place during construction - no impact to revenue generation from tenants

Weaknesses

- Need for large commercial kitchen and dining area
- Existing East Building locker rooms disconnected from movement rooms
- Ground floor healthcare tenant may pose site security risk
- CBO offices spread across floors; adjacency less critical as may operate independently
- The building type requires more frequent maintenance than the standard 20-year PPS building schedule
- Operating costs of the building
- Change in occupancy use needed for educational use

Opportunities

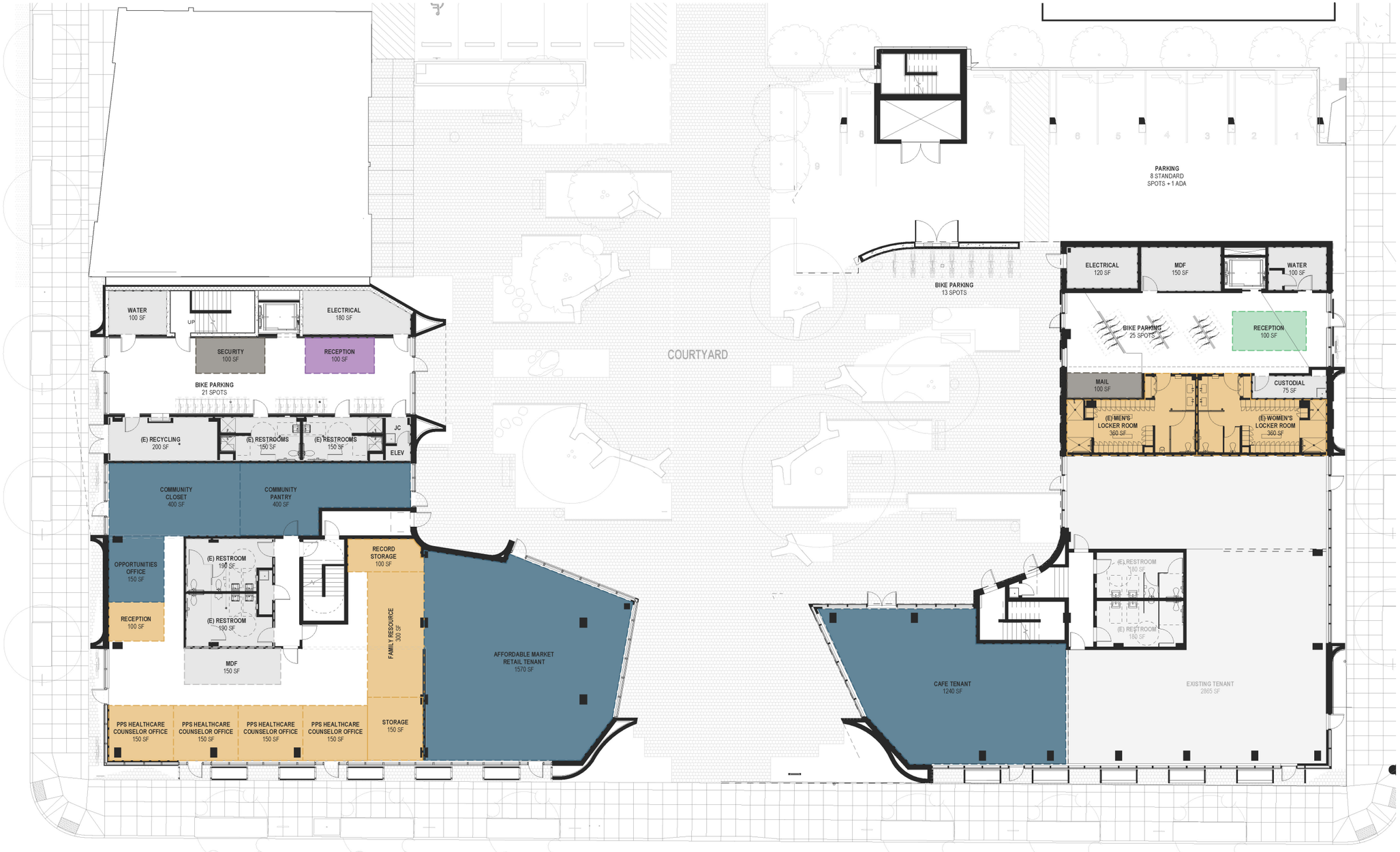
- Flexible West Building floor layouts allow for future build-outs
- Potential to integrate CBO spaces with student and CBSE areas
- Key or FOB access would increase security for students and staff
- Ground floor reception would improve security of the sit

Threats

- Public alley runs through the courtyard
- Inability to eliminate or reduce vehicular access through courtyard
- Lack of direct student access and drop-off

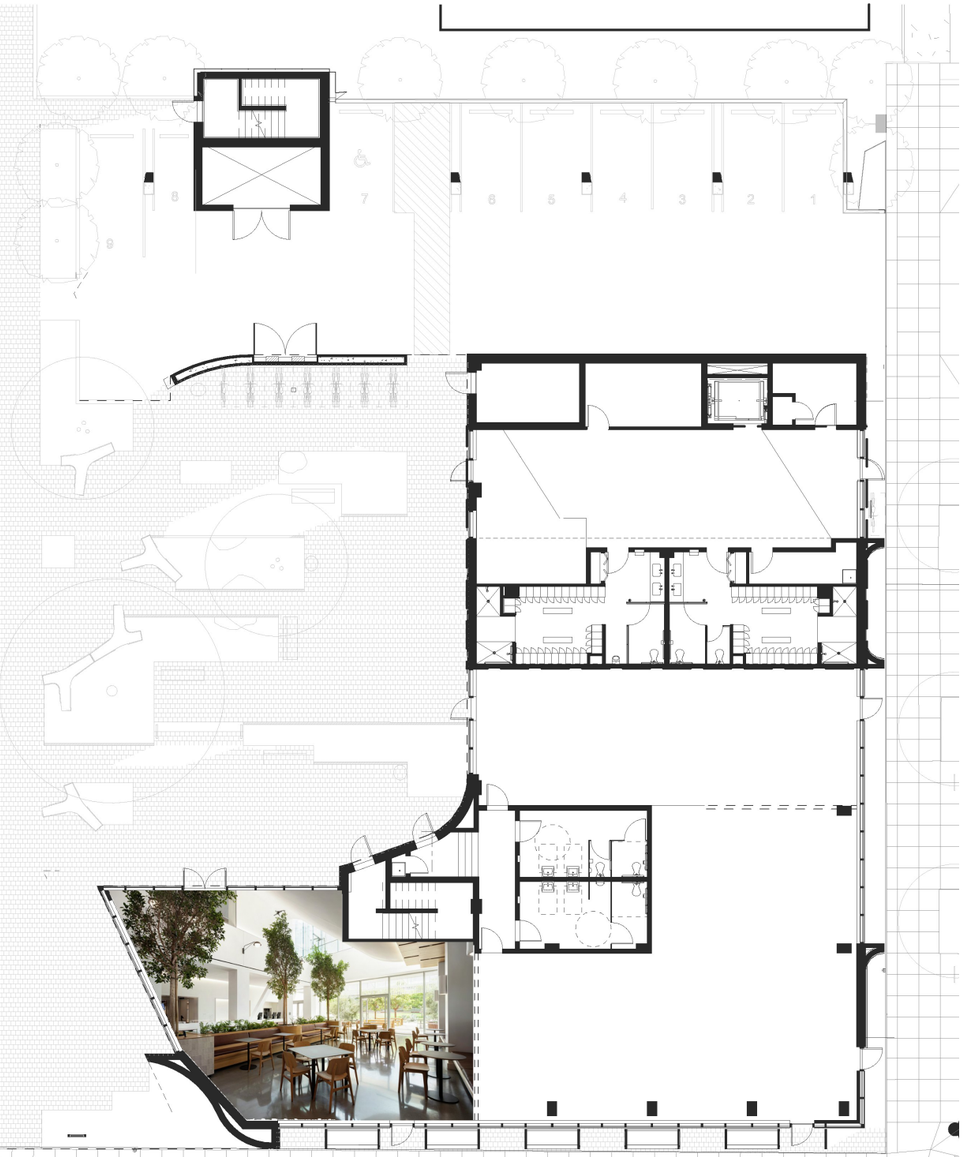
West 1: Community Collaboration

East 1: Community Collaboration

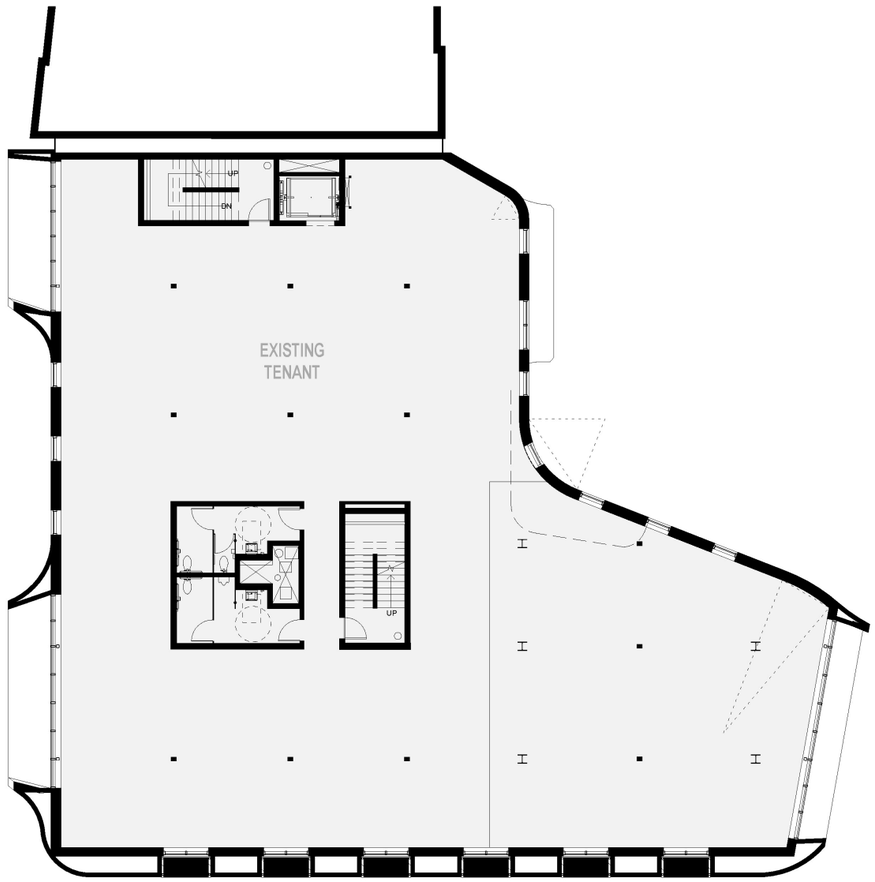


West 1: Community Collaboration

East 1: Community Collaboration

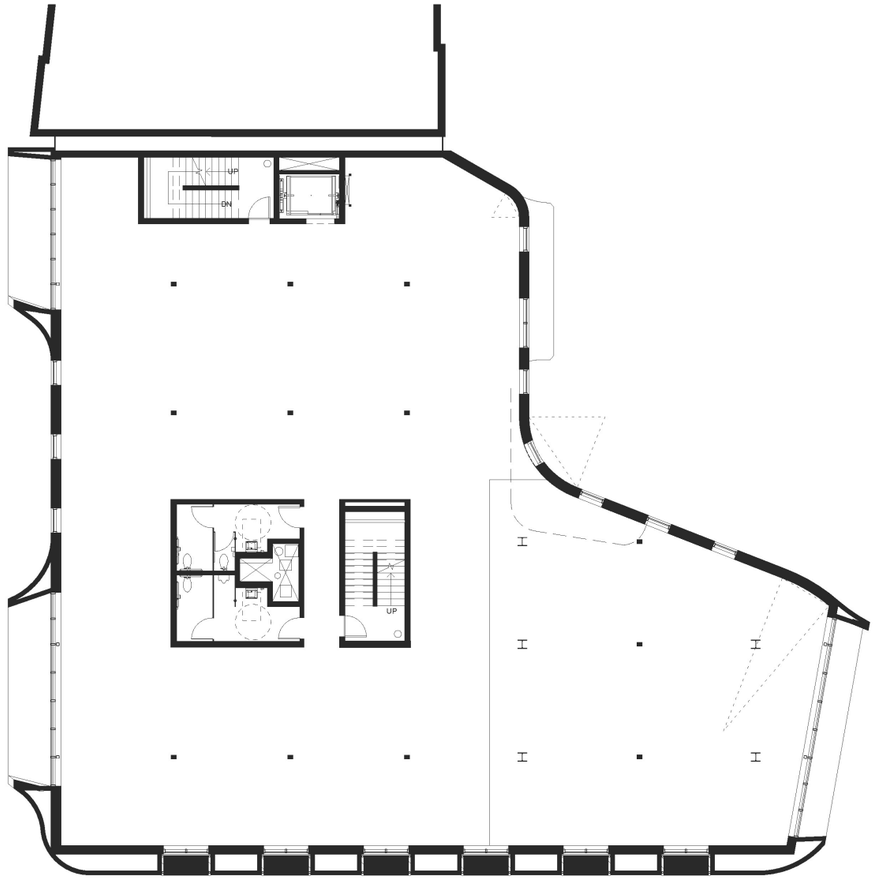


West 2: Existing Tenant



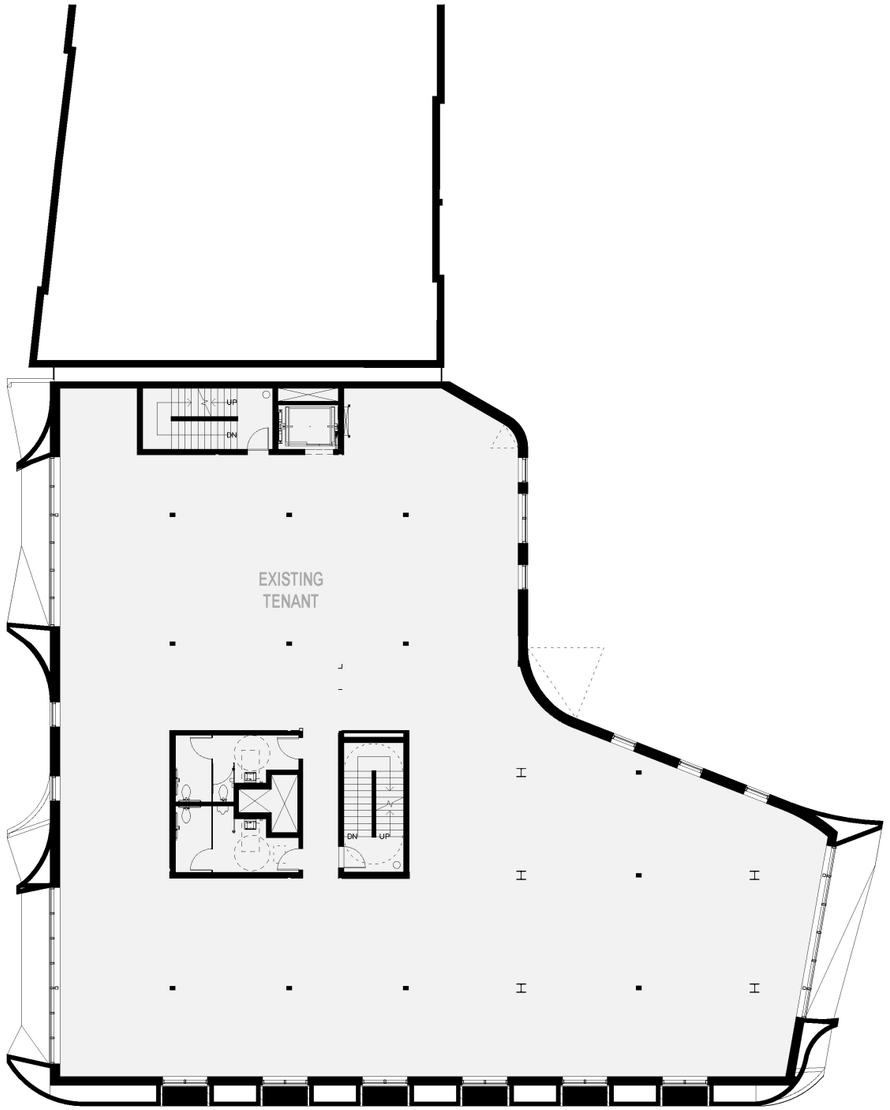
East 2: Center for Culture

West 2: Existing Tenant

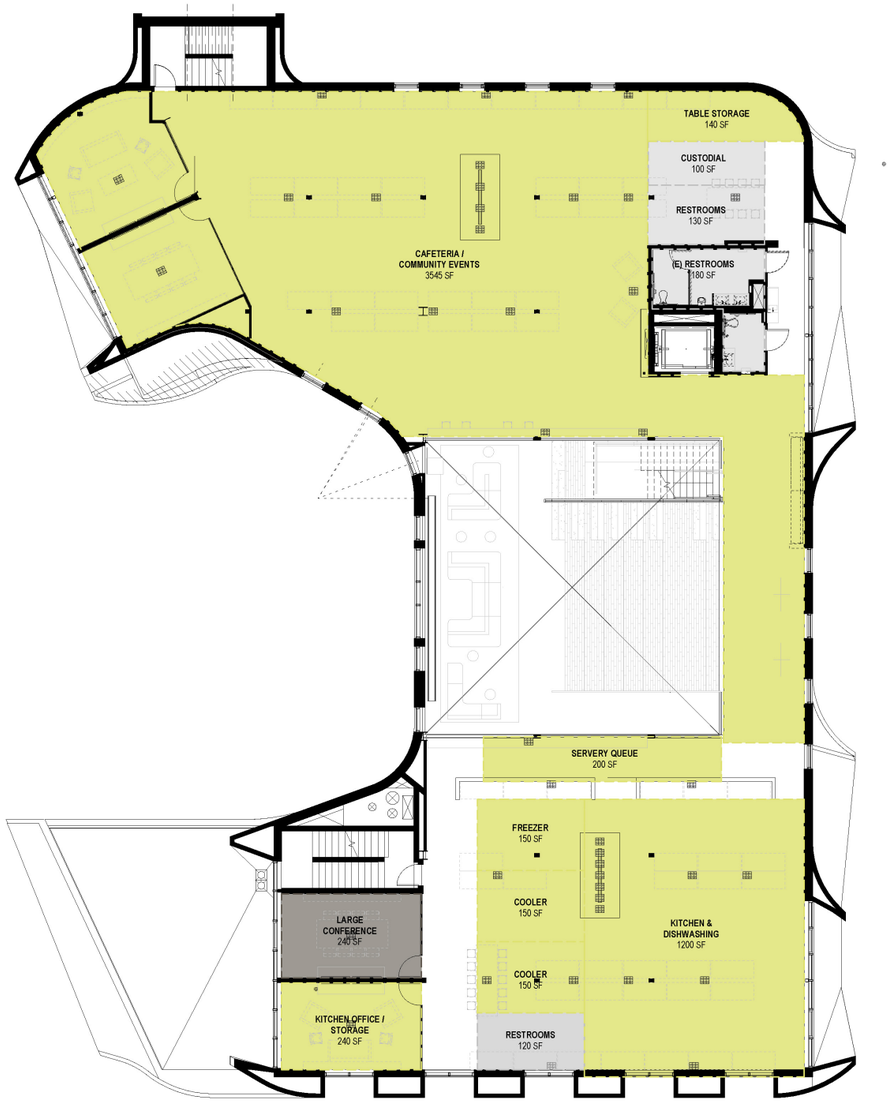


East 2: Center for Culture

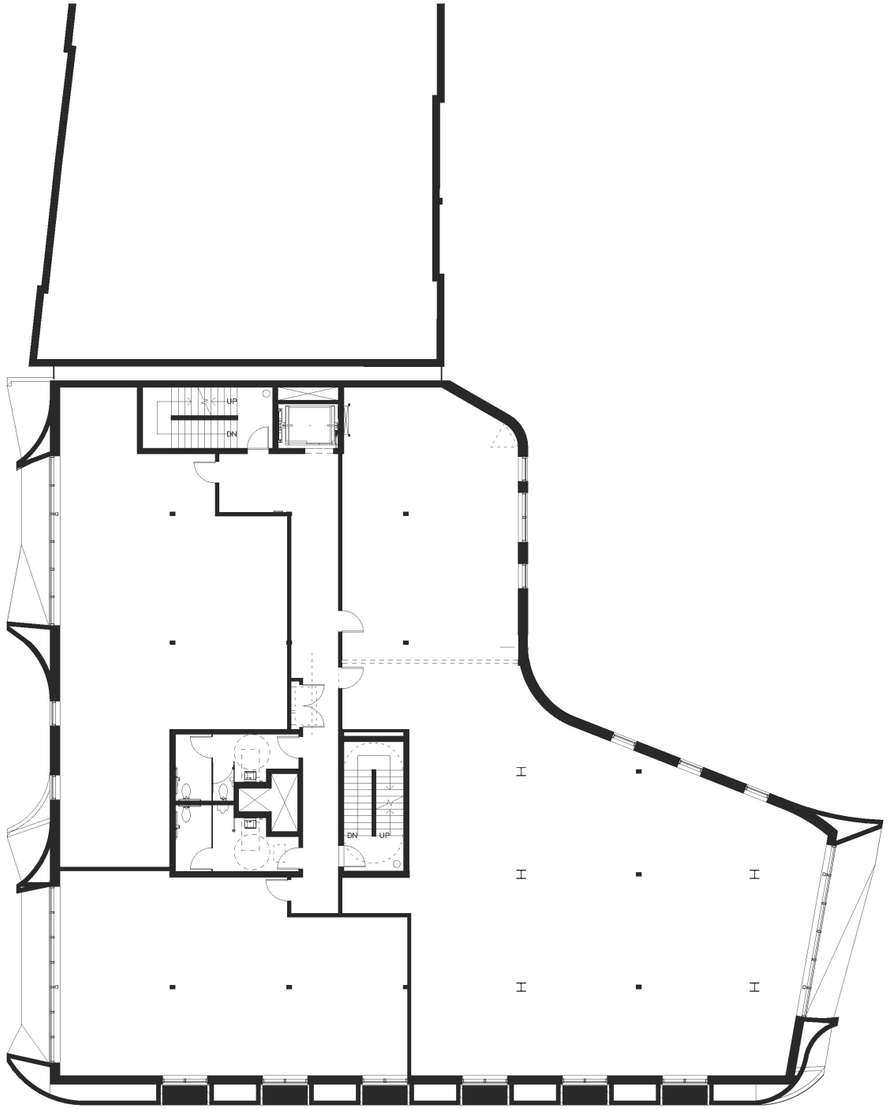
West 3: Existing Tenant



East 3: Joyce Harris Event Center



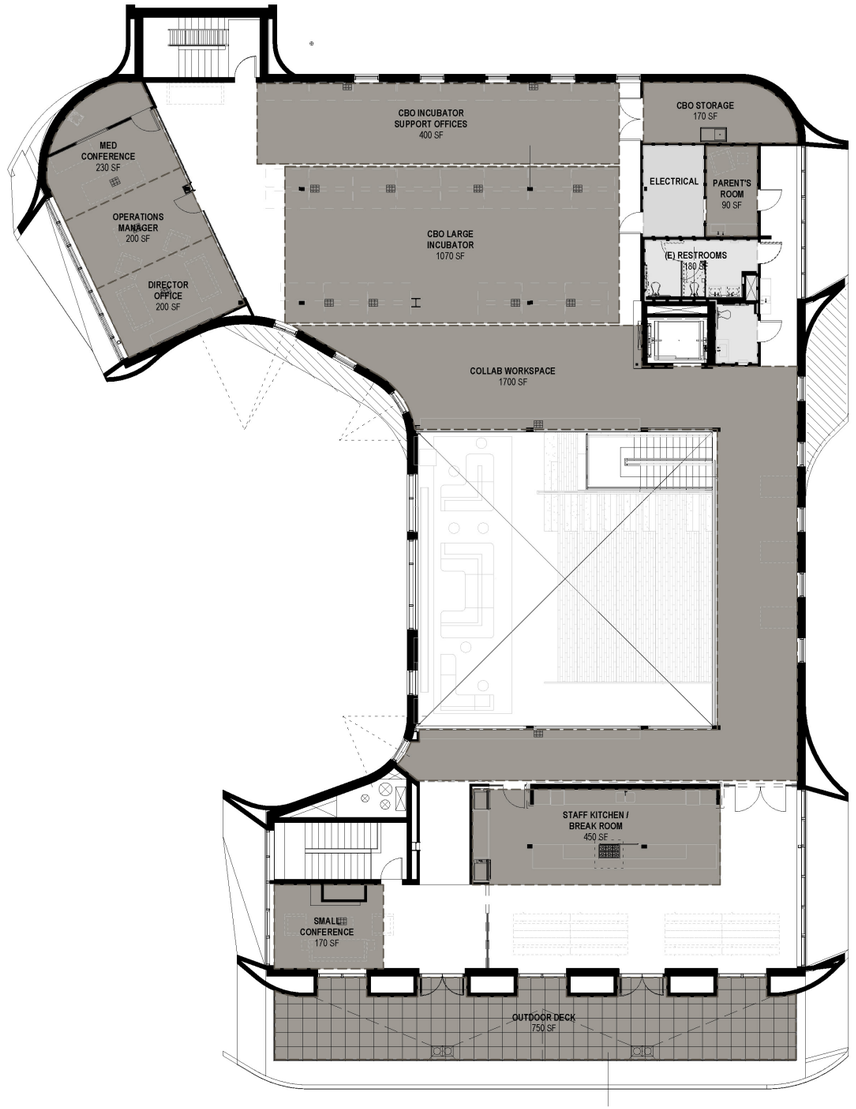
West 3: Existing Tenant



East 3: Joyce Harris Event Center

West 4: Innovation Hub

East 4: Admin HQ



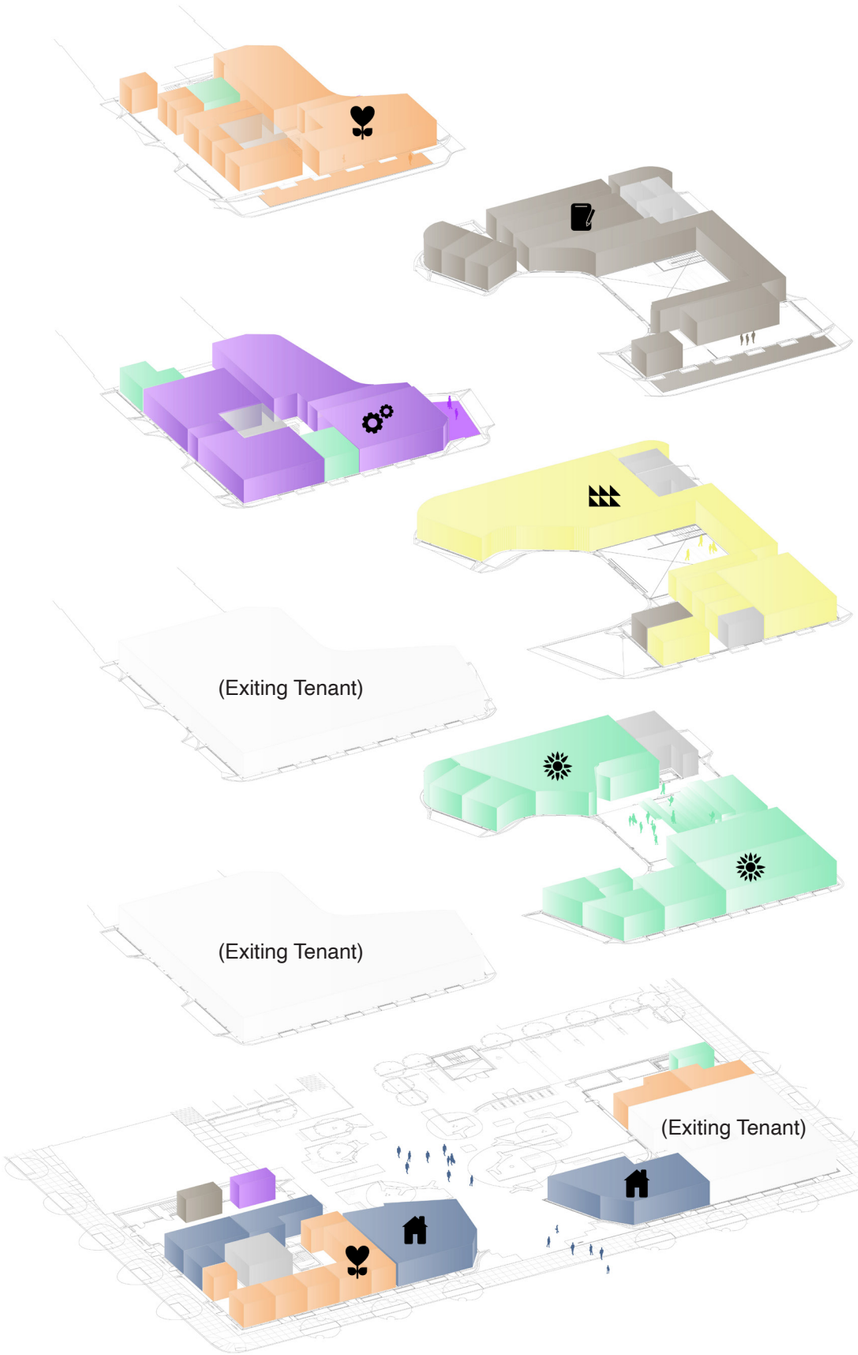
West 4: Arts & Innovation Hub

East 4: Admin HQ

West 5: Family Wellness

Image 3: Precedent Images for Family Wellness Movement Spaces

Program Organization



Level 5
Wellness Studios

Level 4
Innovation Hub
Admin HQ

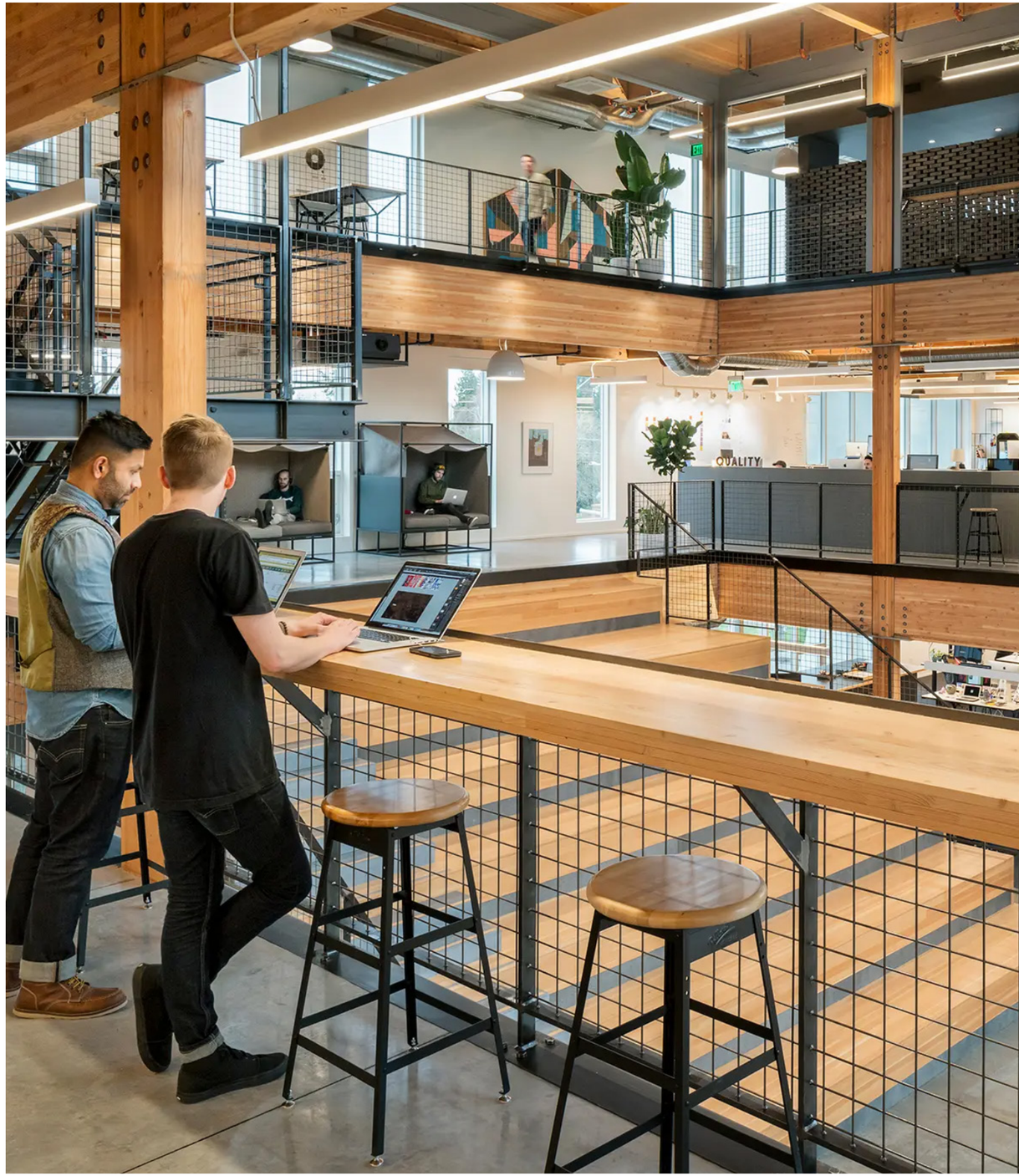
Level 3
Joy Harris Event Center

Level 2
Center for Arts & Culture

Level 1
Family Wellness Center

Community Collaboration

Image 4: One North Property, East Building Interior



3.Site and Neighborhood

The One North property is located in Portland's Boise-Eliot neighborhood, a diverse and evolving area with historic ties to the Black community and located in the historic Albina neighborhood.

Neighborhood Uses

The two buildings occupy the southeast and southwest corners of Block 30, bounded by Fremont Street and New Seasons Market to the south, Williams Avenue to the east, Vancouver Avenue to the west, and Life Changes Church to the north.

The site is surrounded by a neighborhood with a mix of commercial and residential uses, including single-family homes, affordable and market-rate multifamily housing, a grocery store, and a church.

It sits within the Portland SD1J district, which serves Boise-Eliot Elementary School, Harriet Tubman Middle School, and Jefferson High School. The site's close proximity to Self Enhancement, Inc. (SEI), an organization with deep community roots and a mission aligned with the CBSE, further strengthens its relevance.

One North is also within one mile of several parks, including Dawson, DeNorval Unthank, Irving, Lillis Albina, and Two Plum Parks. These parks, located between 0.4 and 0.8 miles from the property, provide much-needed outdoor amenities within walking distance, supplementing the limited open space available on site.

Transportation

The property is in a highly accessible location, offering multiple transportation options, including seven (7) public transit routes within a one-mile radius.

This site has a Walk Score of 95 and a Bike Score of 100. Established bike lanes provide an accessible and sustainable option for both students and administration, and the property includes on-site bike parking to support this mode of transportation.

Alongside these strengths, the property faces several challenges. Onsite parking is limited, and street parking is scarce, which can make it difficult for faculty, tenants, and guests who rely on personal vehicles to find convenient parking. Additionally, the surrounding streets experience congestion, which can increase travel times and add to the difficulty of accessing the site by car.

The surrounding one-way streets, Williams Avenue and Vancouver Avenue, create further challenges. Without direct curbside pick-up or drop-off options for school buses, students must navigate across two lanes of traffic to reach the site safely.

The property includes provisions for nine (9) vehicular parking spaces, including one (1) ADA-compliant stall, and fifty-nine (59) bicycle parking spaces. Per Operating Agreement dated December 2017 and amended in January 2018, governing the 14,000 square-foot easement located between the East and West buildings, includes an arrangement with Life Change Church granting access to ten (10) designated parking spaces, specifically numbered 22-28 and 32-42.

Student Pick-up and Drop-off

The following are two potential options for managing student pick-up and drop-off at the site, each of which would require an agreement with Life Changes Church:

Option 1: LIfe Changes Church

On the north side of the property, the open parking lot owned by Life Changes Church is a potential opportunity for an off-street school bus pick-up and drop-off. A school bus could travel south along Vancouver Avenue and turn left into the church's parking lot. From there, the bus could drop off students mid-block in front of the north bollards of the property, providing a safe and efficient off-street drop-off point. The bus would exit northbound onto Williams Avenue.

PPS could negotiate with the Life Changes Church property owner to secure the use of the lot for off-street drop-offs and pick-ups. Students would then walk through the north bollards to enter the CBSE, creating a manageable flow of students during high-traffic periods.

Option 2: Life Changes Church / Alley

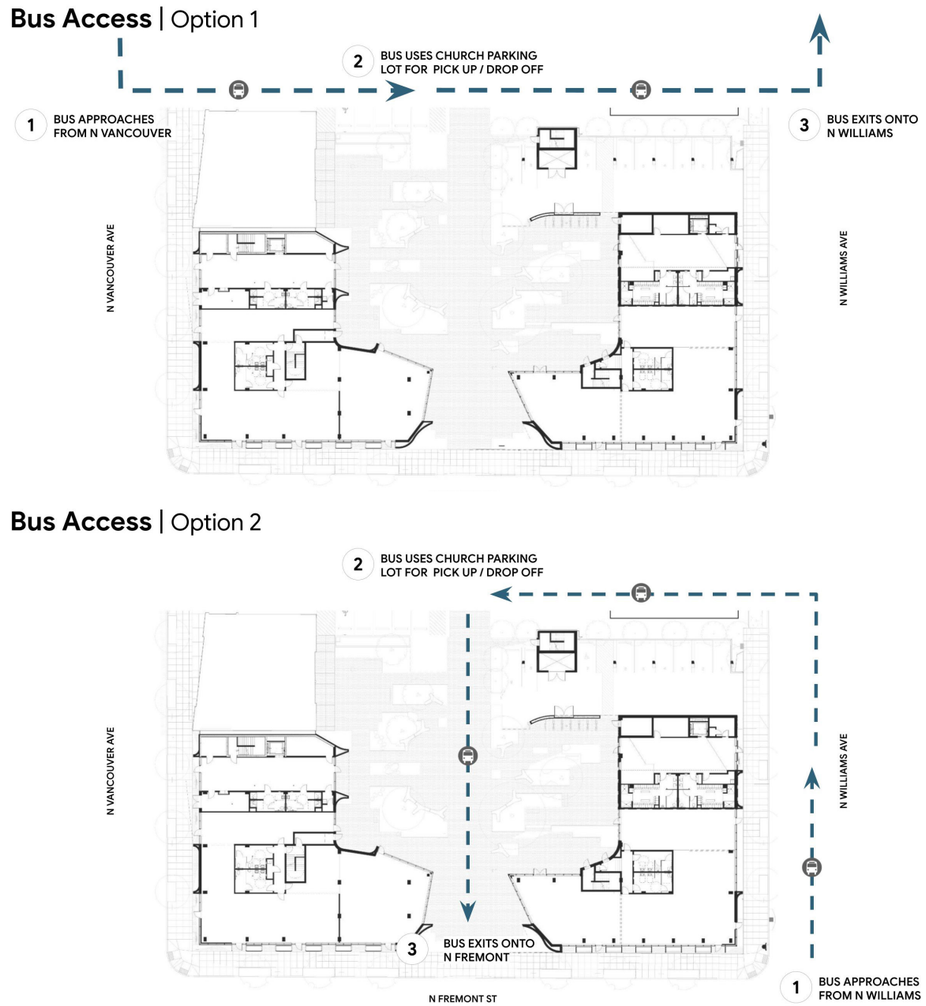
IIn this option, the bus would enter the Life Changes Church parking lot from Williams Avenue and then turn down the alley onto the One North Property's drive, which is owned by EcoCommons*, to drop off and pick up students. The bus would then exit via Fremont Street. To enable this route, the bollards on the north side of the property would need to be removed.

Research indicates that the capacity of the pavers and subgrade in the courtyard is sufficient to support H-20 loadings, which meet the minimum standard for roads at 32,000 pounds per vehicle. It is important to note that this capacity applies only to the 12-foot-wide drive aisle or alley through the courtyard. The weight capacity of areas outside this drive aisle is likely much lower and would require further study.

Additional assessment during the next phase of the project will be necessary to determine whether these areas can safely accommodate school buses and to confirm the feasibility of this second option.

*EcoCommons, LLC, established in March 2013 by Deco Diner, LLC and Karuna Properties II, LLC, is an entity that defines the use and maintenance responsibilities related to the 14,000 square-foot easement between the One North East and One North West buildings.

Image 5: Student Pick-up and Drop-Off Options



4.Building Assessment

The One North property consists of two tax lots. The East Building, 3529 North WIlliams Avenue, is a four-story, 35,599 square foot building with an atrium connecting the third and fourth floors. There is a health clinic tenant on the ground floor.

The West Building, 3514 North Vancouver Avenue, is a five-story 36,600 square foot building with existing tenants, on floors one, two and three, whose leases will be inherited through the sale of the building.

Zoning

One North is located in a Commercial Mixed Use 3 (CM3) zoning district. This zoning allows for educational facilities, and will likely not require a Conditional Use Permit. Uses Allowed By Right in CM3 (Title 33, Planning and Zoning, Table 130-1) are:

Retail Sales And Service	Office
Schools	Colleges
Medical Centers	Daycare

Building Code

LEVER Architecture has determined the East building's current tenant improvement is classified as 'B' occupancy at floor 1, and 'B' / 'A-3' at floors 2-4. The West building is classified as 'B' and 'M' at level 1, and 'B at levels 2-5. The conversion from office space 'B' to educational use 'E' will necessitate updates to meet building code requirements specific to educational environments, which include changes to fire and life safety, ventilation systems, and accessibility requirements (ADA compliance).

In addition to occupancy group 'E', the East building will also contain assembly occupancy 'A-3'. The atrium is already group A-3 for an assembly gathering space. The cafeteria would very likely need a change to group A-2, which would require additional bathrooms, fire alarm sprinkler, rated walls, structural review for load increases, and HVAC upgrades. The museum and gallery spaces in the Center for Arts and Culture could be considered A-3 occupancy as well.

Regarding plumbing fixture count, a preliminary occupancy calculation reflecting the desired programming indicates a need to add one (1) women's toilet and two (2) men's lavatories to the East building, as well as ensure one (1) drinking fountain per floor. The architectural team's occupancy calculation for the West building suggests a total addition of three (3) women's lavatories and one (1) men's lavatory, as well as a drinking fountain per floor.

The Portland Bureau of Development Services (BDS) will require a detailed review of the space to ensure compliance with education-specific regulations, such as minimum space per students, egress routes, and

Image 6: Estimated Required Fixture Counts

	West Building			
Floor	**Mens**		**Womens**	
	WC	LAV	WC	LAV
Floor 5	2	1	2	1
Floor 4	2	1	2	1
Floor 3	2	1	2	1
Floor 2	2	1	2	1
Floor 1	3	3	3	3
	Mens TOTAL		**Womens TOTAL**	
Existing	11	7	11	7
Likely Required	5	8	9	10
Difference	-	1	-	3

	East Building			
Floor	**Mens**		**Womens**	
	WC	LAV	WC	LAV
Floor 4	1	1	2	2
Floor 3	1	1	2	2
Floor 2	1	1	2	2
Floor 1	4	4	4	4
	Mens TOTAL		**Womens TOTAL**	
Existing	7	7	10	10
Likely Required	6	8	11	12
Difference	-	1	1	2

fire suppression systems. This conversion is feasible, but will require a thoughtful approach in the next phase of the project to meet both functional and regulatory requirements.

Building Assessment Report

The following summarizes the "Building Assessment Report" prepared by Interface and KPFF on September 25, 2025.

One North's central location, innovative design, and established presence in the Albina neighborhood make it well suited for educational and community programming. The buildings offer flexible layouts, ample daylight, and modern finishes that align with CBSE's goals of innovation, collaboration, and community integration.

Architectural assessments noted that the buildings are in generally good condition but require ongoing maintenance of wood siding, roof flashings, courtyard paving, and exterior finishes. Accessibility improvements are needed, including signage upgrades, van-accessible parking markings, and ADA adjustments.

Safety recommendations included enhancing courtyard lighting, securing stair details, and reviewing fire lane and courtyard conditions given the site's open "woonerf" design that blends pedestrian and vehicular uses.

Structurally, the mass timber and concrete framing systems are performing as expected with only minor shrinkage and cosmetic issues observed. However, converting the buildings from office (Risk Category II) to educational use (Risk Category III) will trigger stricter seismic, wind, and snow load requirements under current building codes. Structural upgrades, especially to lateral systems, would likely be required to meet compliance. While the existing systems are sound, this change in occupancy presents significant cost implications.

Mechanical, plumbing, and electrical systems are largely in good condition, though service histories are limited. The Variable Refrigerant Flow (VRF) heating and cooling system requires cleaning and verification of code compliance, while ventilation issues such as grease duct access and potential refrigerant density concerns must be addressed.

Image 7: Building Updates Required for Education Use

EXISTING		
	West	**East**
Zone	CM3 *Previously Exd When Built	CM3 *Previously Exd When Built
Fire Separation	0 HR	0 HR
Occupancy	B, A-2	B, A-3
Plumbing	20 WC 12 LAV	14 WC 12 LAV
Bike Parking	4 short term 21 long term	14 short term 25 long term
ASCE 7-16 Risk Category	Risk Category II	Risk Category II

Required for CBSE		
	West	**East**
Zone	CM3	CM3
Fire Separation	1 HR Increased fire rating at Floor 4/ Ceiling of Floor 3	1 HR Increased fire rating at Floor 4/ Ceiling of Floor 3
Occupancy	M, B, A-2, E Upgrade for Risk Category III	M, B, A-2, E Upgrade for Risk Category III
Plumbing	Add: 2 WC, 6 LAV	Add: 4 WC, 6 LAV
Bike Parking	Add: 2 short term 28 long term	Add: 1 short term
ASCE 7-16 Risk Category	Risk Category III Seismic design force increase 25% Wind load increase 10-15% Roof snow load increases 10% Flood resistance to meet ASCE 24	Risk Category III Seismic design force increase 25% Wind load increase 10-15% Roof snow load increases 10% Flood resistance to meet ASCE 24

Plumbing systems are functional but aging, with water heater replacement recommended. Electrical systems, including LED lighting, PV arrays, and emergency power, are modern and serviceable, though minor upgrades such as tamper-proof receptacles and code-compliant panel access are advised. Collectively, these systems support the property's viability but will require targeted upgrades and regular maintenance to ensure long-term performance.

Environmental Phase 1

Alpha Environmental conducted a "Phase I Environmental Site Assessment" report dated September 29, 2025 that was provided to the project team. According to this report, the assessment revealed no evidence of Recognized Environmental Conditions (RECs), Controlled Recognized Environmental Conditions (CRECs) de minimis conditions, or Business Environmental Risks (BERs) associated with the property, with one exception.

During the commissioning of gasoline underground storage tanks (USTs) related to former service station operations on the site, a petroleum release impacting soils was identified. Records from the Oregon Department of Environmental Quality (DEQ) confirm that the release was properly addressed through cleanup and decommissioning activities. The DEQ subsequently issued a "No Further Action" (NFA) letter.

Based on the report received, Alpha Environmental has classified the petroleum release as a Historical Recognized Environmental Condition (HREC). Given the information available, no additional investigation is recommended at this time.

Alpha Environmental advises that it is the responsibility of Portland Public Schools to review title records for any recorded environmental cleanup liens or Activity and Use Limitations (AULs), which may include institutional or engineering controls. At the time of the report, Alpha Environmental had not yet received the Environmental Liens or AUL report from PPS. Nonetheless, Alpha concludes that sufficient information was available to support the findings and recommendations provided in the assessment.

Image 8: One North Property Courtyard

5.Phasing Strategy

The following phasing strategy is based on several assumptions: CBSE will relocate its administrative office to One North upon acquisition of the building; existing tenant leases will remain in effect; Community Based Organizations (CBOs) serving youth will be clustered in the East Building; and other for-profit or non-youth-serving organizations will be concentrated on the second and third floors of the West Building.

Limited Phases

Given the $60 million dollars of availability of funding for CBSE, it is recommended to minimize construction phases and complete most work within a single, streamlined phase. This approach reduces costs by promoting efficient use of resources, labor, and materials, limiting overhead, and avoiding duplication of efforts.

A continuous workflow shortens the construction timeline, enabling earlier completion, faster occupancy, and quicker revenue generation. It also helps control cost escalation, reduces material waste, and supports a more sustainable development.

Additionally, a streamlined schedule fosters stronger collaboration among all stakeholders by centralizing decision-making, scheduling, and communication. The selected development, design, and construction team should create a comprehensive sequencing plan to optimize efficiency while minimizing disruption to tenants and CBSE occupants throughout the project.

Phases

The development team recommends completing this project in three phases. The estimated duration for these phases is approximately thirty-six (36) months, depending on PPS, the future development and design teams, the construction partner, and the timely approval of key decisions by PPS and CBSE.

Phase 1: CBSE Interim Program / Design (24 months)

In Phase 1, CBSE should relocate its administrative functions into the East Building and begin interim student programming. Administrative offices will occupy the fourth floor of the East Building (E4), while temporary student programming will take place on East E4 and East E2. Additional temporary space for student activities will be provided on the first floor of the West Building (W1) at 3510 N Vancouver Avenue, which is currently vacant. A café/gallery will be established in E1 at 25 North Fremont Street, which is also currently vacant.

During this phase, PPS will select its development, design, and construction partners, initiate and complete the design of CBSE tenant improvements (TI), and obtain the necessary permits to proceed with construction.

All leases with tenants should be kept in place and/or renewed for a maximum of twenty four (24) months. All leases with Community Based Organizations (CBOs) during this phase should be short-term and require minimal or no tenant improvements, given the upcoming construction schedule.

The 24-month schedule for Phase 1 is based on the following assumptions:

- CBSE administration will move in immediately following the property closing
- A six (6) month period for PPS to solicit and onboard the future development, design, and construction team
- Twelve (12) months to complete the design phases, from Schematic Design through Construction Documentation
- Six (6) months for permitting

This schedule is subject to change based on the future development team, PPS, and the jurisdiction. The timeline could be shortened if leadership prioritizes accelerated decision-making and coordination.

Phase 2: CBSE Interim Program / Construction (12 months)

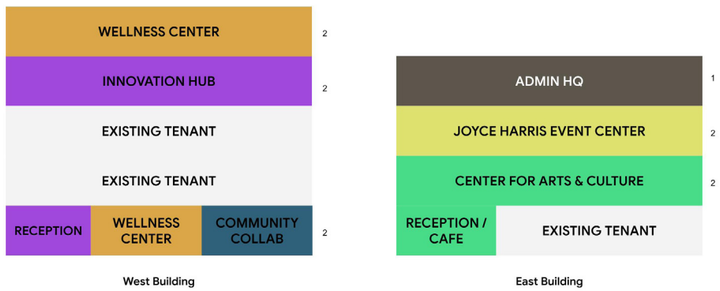
During this phase, the CBSE footprint will be reduced to the fourth floor of the East Building and the East Building café/gallery. All other areas, with the exception of the tenants occupying the second and third floors of the West Building, will be under construction. This timeline could be shortened if an early construction package is implemented to complete necessary seismic upgrades, allowing the remaining work to focus primarily on tenant improvements.

Image 9: Phasing Diagrams

Phase 1: CBSE Interim Program / Design

Phase 2: CBSE Interim Program / Construction

Phase 3: CBSE Final Program Operations



6.Income and Expenses

The initial financial analysis of the One North property is based on reported revenue and expenses for the 2024 fiscal year. This assessment utilizes current leasing agreements, the existing rent roll, and verbal confirmation communicated to PPS regarding potential lease extensions or renewals.

At this stage, the analysis excludes any financial projections related to spaces expected to become vacant upon lease expiration. Additionally, it does not account for potential rental income from community-based organizations to whom PPS intends to offer workspace.

To accurately determine the full operational cost of the One North property, a more comprehensive financial analysis, along with a lease up strategy that corresponds to each phase of development culminating in Phase 3: CBSE Final Programs Operations would be required. Such an approach would provide greater insight into both the financial opportunities and the long-term obligations associated with the site.

It is highly recommended that a full comprehensive financial analysis of potential income and operating expenses is conducted by a development partner along with PPS's Department of Facilities and Asset Management's Real Estate Office.

There is an opportunity for CBSE to retain the majority of existing tenants during and after the construction of the CBSE Final Program at One North. Maintaining these tenants allows CBSE to benefit from rental revenue, which can help offset the building's operating expenses. The following section outlines the potential cash flow analysis at the One North Property during the first and final phase of the building renovation.

The charts are informed by information derived from Leases, Rent Rolls, Operational Expenses for the years 2022-2025, and Site Operating Cost Analysis provided by PPS. Additionally, Adre received an updated Rent Roll on September 23, 2025 that indicated interest from existing tenants who wish to exercise their right to extend their lease.

All tenants who have expressed an interest, at the time of this report, can stay in place during every phase of the project and remain concentrated across a footprint that does not interfere with CBSE programming or future CBO occupied spaces. All of the information provided has been reviewed and reformatted for review in this report.

Financial Assumptions

The financial analysis presented is based on 2024 annual data and includes the following assumptions:

Income Assumptions

- CBSE and CBOs to occupy 73% of the buildings
- Existing and future tenants to occupy 27% of the buildings
- NNN income is divided prorata based on square footage
- All existing West 2 and West 3 tenants to remain at same rental rate
- Existing tenants to roll off as follows:
- [redacted] to vacate by 10/31/2025
  - [redacted] to vacate upon closing of sale
  - [redacted] to vacate on 4/30/2026
  - [redacted] to vacate on 1/1/2026
  - [redacted] vacate on 8/1/2026

Expenses Assumptions

- CBSE will not have a mortgage payment
- 27% of the building will incur property taxes (the tenants spaces)
- CBSE and CBO's will not incur property taxes
- No Tenant Improvement costs (TI) included

Net Income During CBSE Interim Program

The Potential Net Income during CBSE Interim Program chart presents the annual rent, NNN payments, total income, operating expenses, and net income for the One North property in 2024. As discussed with PPS, the development team recommends retaining all of these tenants during Phase 1, the CBSE Interim Program, and the majority of them after the buildings are fully renovated.

Current tenant leases are set to expire between 2026 and 2028. PPS should renew all leases for the maximum allowable term, except for tenants marked with a (*) whose leases should only be renewed for the duration of Phase 1.

It is assumed that [redacted] per-square-foot rent is higher due to the extensive buildouts required for a medical space. The operating expenses shown in the chart do not include mortgage payments that are currently paid by the landlord. The overall tenant footprint decreases from 29-19% by 8/1/2026. Leases expiring with no confirmation of extensions leads to swiftly declining operational expenses from minimal net income to carrying costs by 4/30/2026.

Image 10: Potential Net Income During CBSE Interim Program (Through 4/30/2026)

Building / Floor	Existing Tenants	Size (SF)	2024 Annual Rent ($)	2024 Annual Rent ($/SF/yr))
West 3	[redacted]	1919	51,385	$26.78
West 3	[redacted]	3,729	69,232	$18.57
West 2	[redacted]	8,064	208,107	$25.81
West 1	[redacted]	4,417	106,911	$24.20
East 1	[redacted]	3,132	136,872	$43.70
	Total SF	**21,261**		
			Total Rent	**572,507**	**$26.92**
			Total NNN Payments	217,137	
			Total Income	**789,644**	
			Operating Expenses	(736,494)	
			Net Income	**$53,151**	

Potential Income CBSE Final Program

The CBSE Phase 3 Final Program: Potential Income for Remaining Tenants chart presents the projected annual rent for the One North property after the CBSE renovations are complete. This chart is informed by current tenant leases and any expressed interest, formal or informal to extend a tenant's lease. This chart does not account for tenant vacancies or future CBOs who are projected to pay a rent that will be negotiated between owner and tenant.

The new ground-floor tenants are intended to be community-focused and may be operated by nonprofit entities. As a result, these spaces will likely be occupied by tenants who pay below market rate rents. To determine those rents, PPS would need to provide further information on the CBOs expressing interest.

The chart does not include future tenants who may occupy vacant suites. A comprehensive financial analysis would provide information needed to determine demand, potential tenants and rents.

Image 11: Potential Net Income CBSE Final Program

Building / Floor	Existing Tenants	Size (SF)	2024 Annual Rent ($)	2024 Annual Rent ($/SF/yr)
West 3	[redacted]	1,919	51,385	$26.78
West 3	[redacted]	3,729	69,232	$18.57
West 2	[redacted]	8,064	208,107	$25.81
	Total SF	**13,712**		
			Total Rent	**328,724**	**$23.97**
			Total NNN Payments	136,387	
			Total Income	**465,111**	
			Operating Expenses	(736,494)	
			Net Income	**($271,383)**	

Image 12: One North Property, Courtyard

7.Conclusion

The findings of this Programming Feasibility Study demonstrate that the proposed modifications of the One North property into the Center for Black Student Excellence (CBSE) is viable, offering the potential to serve as a transformative community anchor. However, there are a series of challenges including site access, infrastructure upgrades to meet the CBSE programming, and required finances to maintain the property over time. PPS will need to conduct further investigation and resolutions to ensure the success of the construction and operations of the new facility.

Programming

The concept design balances the dual priorities of student and community access while integrating educational, cultural, wellness, and collaborative programming. The design is intentionally organized into six categories: Innovation Hub, Center for Arts and Culture, Family Wellness, Joyce Harris Event Center, Administration & Office, and Community Collaboration. The conceptual design organizes related functions to work cohesively for the intended users and ensures intuitive navigation across both buildings.

The One North property exceeds the square footage required to operate CBSE. In response, the design team developed a layout that maximizes space utilization for CBSE programming as well as accommodating current and future tenants.

Building Updates

The adaptive reuse strategy leverages an existing asset and accelerates project timelines through a thoughtfully phased implementation, though conversion from office to educational use requires updates to meet building code to fire and life safety, ventilation, accessibility, plumbing, and structural systems.

Site Access

As part of Portland Public Schools' (PPS) commitment to students, the project must provide direct pick-up and drop-off for students on the passenger side of school buses. PPS can provide direct pick-up and drop off by using one of the two solutions outlined in this report or an alternative.

Required Finances for Operations

The initial financial analysis estimates $465,111 in annual tenant income and $736,494 annual operating expenses, which requires an annual CBSE investment of approximately $271,383 annually for CBSE to carry.

It is highly recommended to retain existing tenants and consolidate CBSE functions within specific floor plates to maintain flexibility for potential future rentable spaces.

To accurately determine the full operational cost of the One North property, a more comprehensive financial analysis, along with a lease up strategy that corresponds to each phase of development culminating in Phase 3: CBSE Final Programs Operations would be required. Such an approach would provide greater insight into both the financial opportunities and the long-term obligations associated with the site.

Recommendations

PPS next steps should focus on a comprehensive financial analysis, code compliance, design, permitting, and close coordination with both existing and future tenants to ensure smooth transitions and operational continuity. The recommended next steps are as follows:

1. PPS's Department of Facilities and Asset Management to engage with development partner to complete comprehensive financial analysis
2. Proceed with one of the proposed solutions or alternative to provide direct passenger side pick up and drop off for school busses
3. Engage with A&E team to identify what building updates are required prior to move in
4. Engage in a development and design team for the Phases 1-2 of CBSE

With careful design, strategic phasing, and strong stakeholder collaboration, this project has the capacity to achieve its mission of inclusive innovation, cultural expression, and holistic support centering students and their families, while simultaneously fostering long-term community impact.

Image 13: One North Property, Courtyard